Chan Charts
Daily crypto chart quiz

FREE GUIDE #07

Where to Put Your Stop Loss

Place stops where your idea is wrong, and size the trade from there



Practice this daily

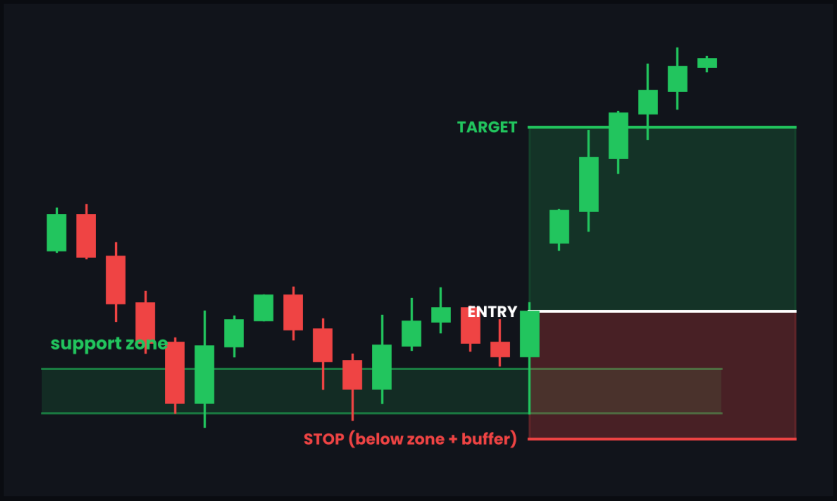
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THE RULE

Your stop = where you are wrong

A stop loss is not a random %. It goes at the price where your trade idea is clearly **invalid**.



- Buying support? Stop goes **below** the support zone plus a buffer.
- Selling resistance? Stop goes **above** the resistance zone plus a buffer.
- Decide the stop **before** you enter.

MISTAKE

Too tight = stopped out by noise



Stops placed exactly at the level get hit by normal wicks (and by stop sweeps). Put them beyond the zone and beyond the latest wick.

POSITION SIZE

Size the trade from the stop

Choose how much of your account you can lose on one trade (many traders use 1%). Then:

FORMULA

Position size = (Account × Risk %) ÷ (Entry - Stop)

Example: $1,000 account, 1% risk = $10. Entry $100, stop $95: $5 risk per coin, so size = 2 coins ($200 position).

A wide stop means a smaller position. A tight stop means a bigger position. The money at risk stays the same.

CHECKLIST

Stop loss checklist

- [ ] Stop is beyond the level **and** the latest wick
- [ ] Position size calculated from the stop
- [ ] Max loss is a small % of the account
- [ ] Reward is at least 2x the risk
- [ ] Never move the stop further away to "give it room"
- [ ] Leverage? Make sure liquidation price is far beyond your stop



Now test yourself.

Reading a guide is step one. Spotting the setup on a live chart, fast, is the real skill. That is what the daily quiz trains.

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